

ENTREPRENEURSHIP & BUSINESS DESIGN

B. Tech. CSE. III Year, I semester Section D, (9ZC10). Unit - III

**Sreenidhi Institute of Science & Technology
Hyderabad, 501301, India (Sep. 2025)**

Syllabus (Unit -3)

UNIT-III: Designing a Business Strategy: Define a problems and frame a strategic question, map the lives of users, journey mapping and ideation, color theory, killing the ideas through Stage Gate Models, pitching of full-fledged, idea, choosing the Start-Up Team.

Introduction to Designing Business Strategy (Unit –III)

Syllabus (Unit -3)

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Unit – III: Designing a Business Strategy

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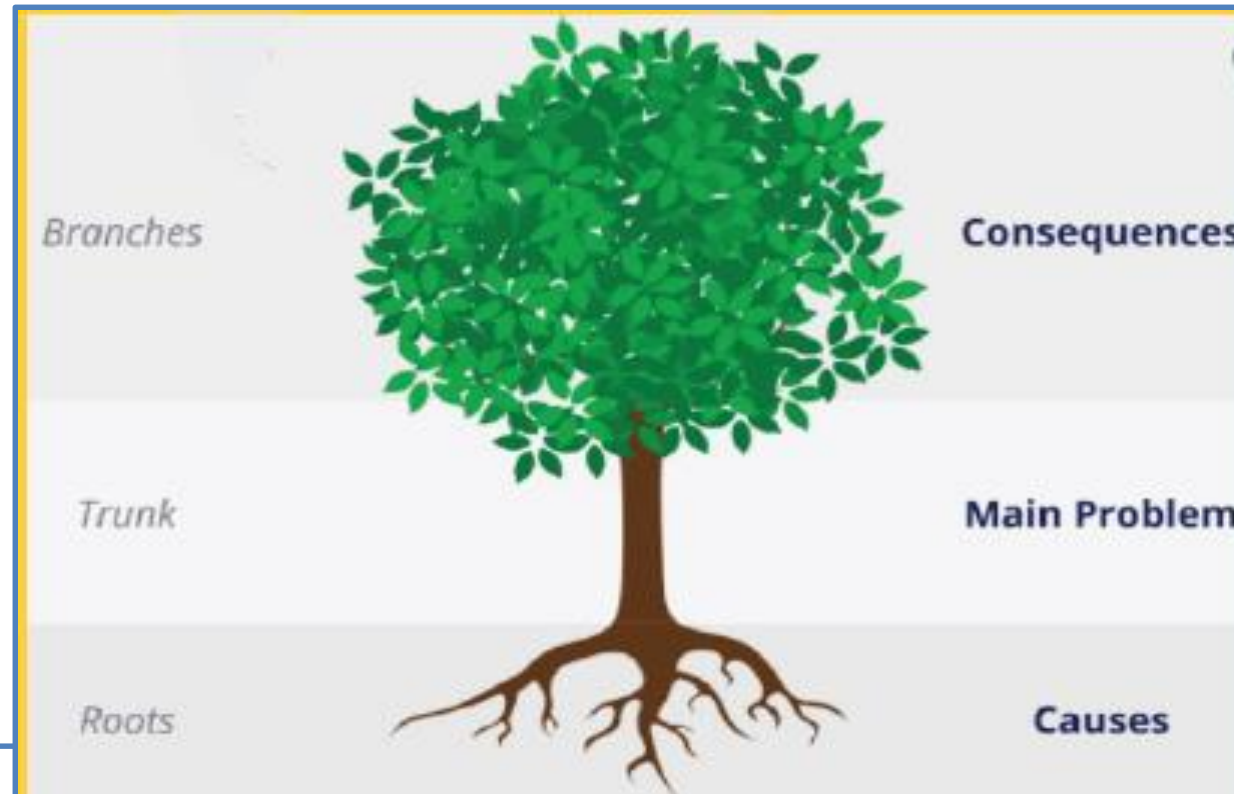
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Define a Problem and frame a strategic Question

- (i). DEFINE the KEY ISSUE . It is important because WHO is it a Problem for eradication of COVID ?**
- (ii). List Socio -Economic - Cultural Factors of the Problem identified**
- (iii) Is there any indication that this problem is worth solving? Why ? What is the opportunity you find here -**
- (iv). Business opportunity / impact that one can create .**
- (v). REDEFINE the problem - new dimension / a different viewpoint ?**

Define a Problem and frame a strategic Question

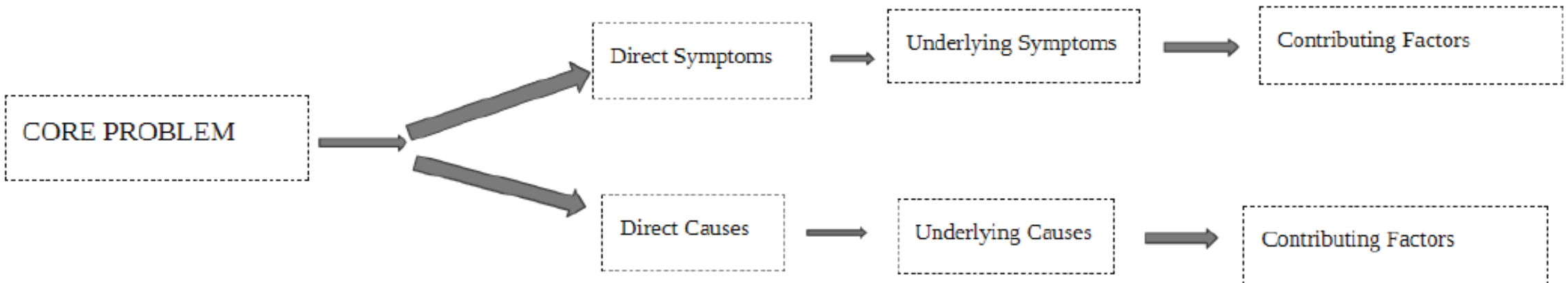
**Problem is an existing situation and not the absence of a solution
There will be multiple causes and effects of each problem, so please keep that in mind. Imagine a tree with branches, stem and roots - now draw your problem tree to map your problem visually.**



Define a Problem and frame a strategic Question

Write down the CORE problem you want to solve and divide it into further Direct, Underlying and Contributing symptoms that you can see because of it. It can be: People, systems, machines, materials, internal & external forces etc.

Always remember, the problem is different from its symptoms. A cause is the reason something happens and a symptom is usually what we see as the result of the problem.



4 E's Of Problem Identification

1. **E**xplore : Explore the problem
2. **E**xtract : Extract or capture the problem
3. **E**xperience: Experience the problem by putting yourself in customer's perspective
4. **E**nd: End the problem by finding effective solution through ideation.

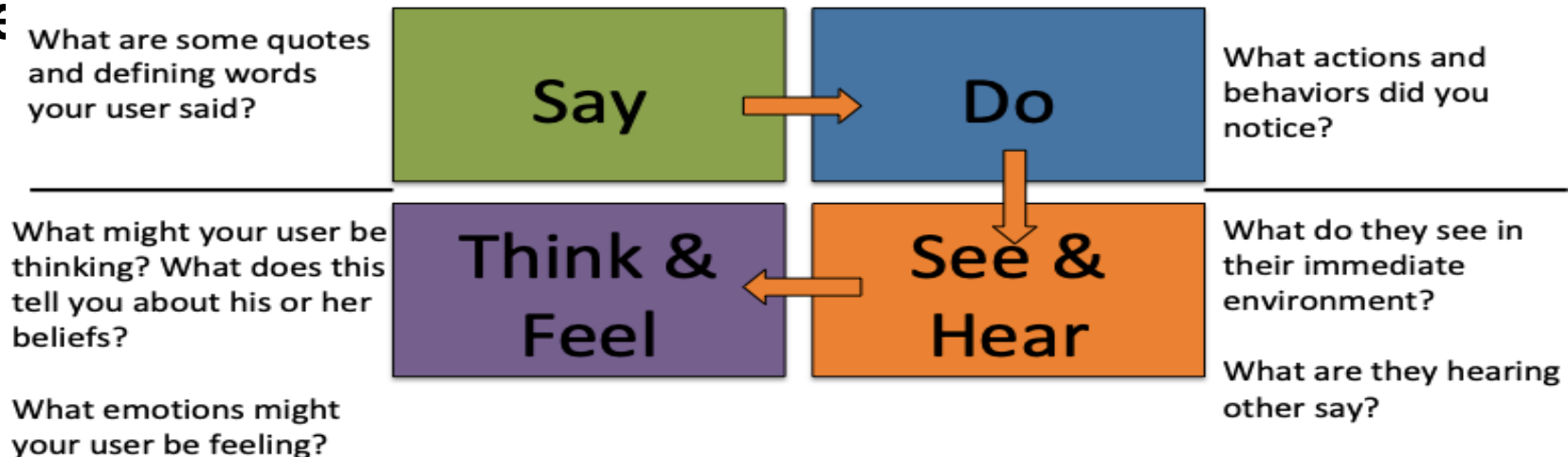
The first, most critical step is to define clearly the business opportunity. “**To Develop an efficient vaccine to fight against COVID**”

Conduct your SWOT (**S**trength, **W**eakness, **O**pportunities, **T**hreats) and competitive analyses first, because they will give you the foundation of information on which you can build your strategy.

Map the lives of users

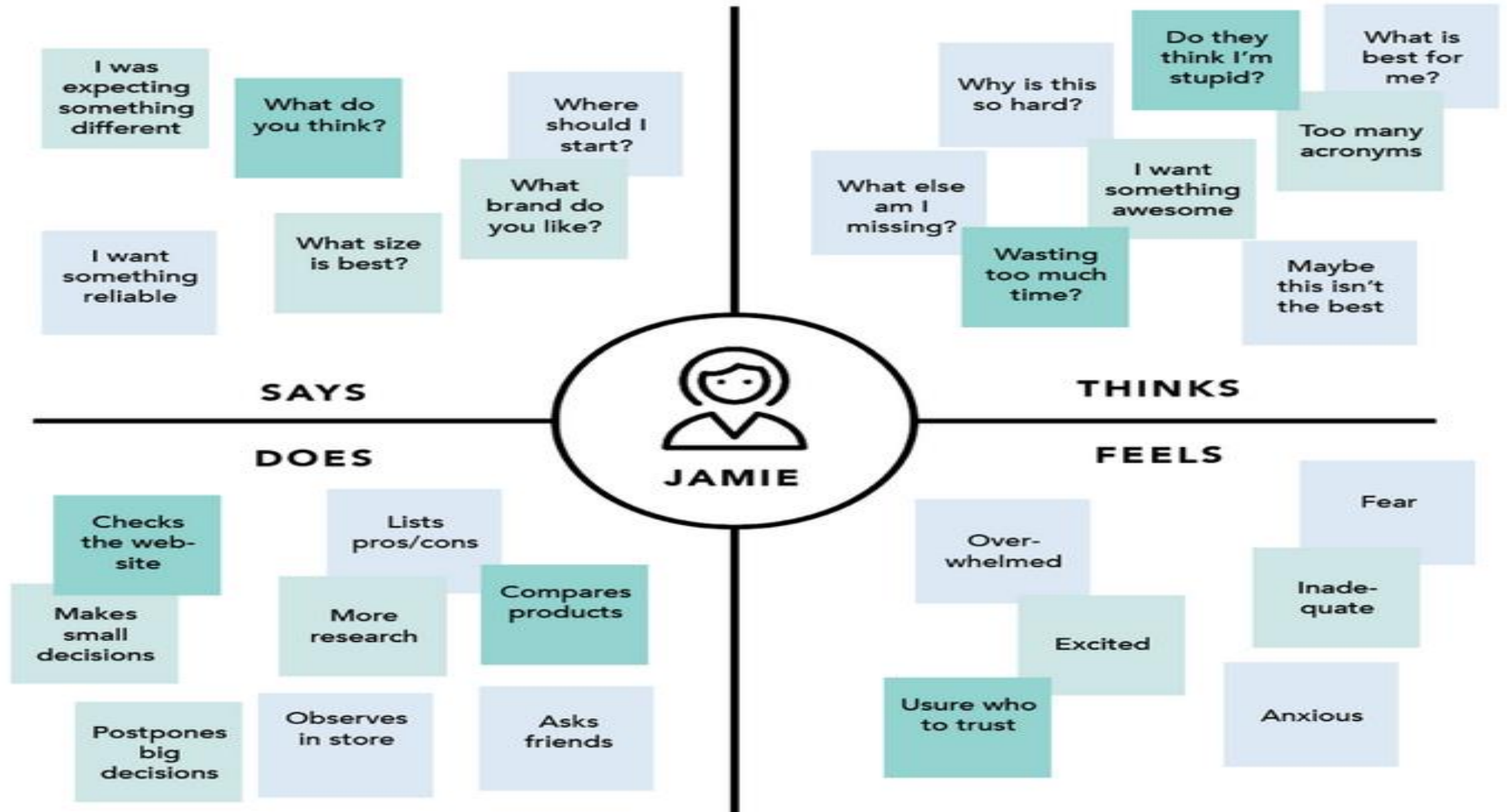
Empathy mapping can be driven by any method of qualitative research (and can be sketched even if research is lacking). They can help UX professionals understand what aspects of their user they know and where they would need to gather more user data.

Empathy maps can capture one particular user or can reflect an aggregation of multiple users.



- **Identify Needs** – emotional or physical necessity. It is a verb.
- **Identify Insights** – a remarkable realization. Say contradiction between 2 attributes. Ask Why?

Map the lives of users example



Journey mapping and Ideation

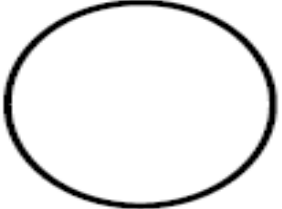
A journey map is a visualization of the process that a person goes through in order to accomplish a goal.

The benefits of journey maps are two-fold.

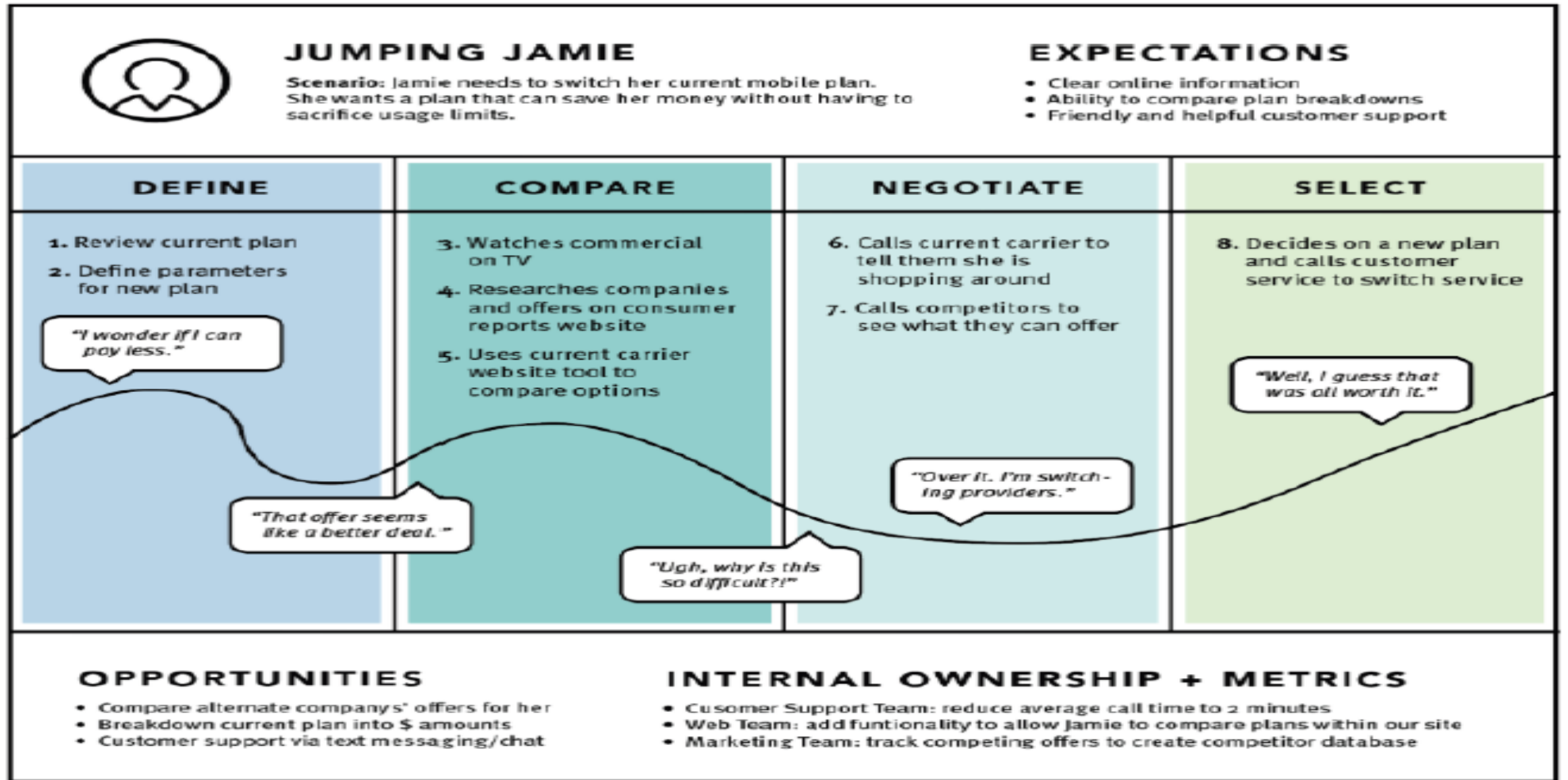
- 1. First, the process of creating a map forces conversation and an aligned mental model for the whole team.**
- 2. Second, the shared artifact resulting from the mapping can be used to communicate an understanding of your user or service to all involved.**

Journey maps are effective mechanisms for conveying information in a way that is memorable, concise, and that creates a shared vision.

Journey Map Template

	Persona	Scenario	User Expectations	
	_____	_____ _____	_____ _____	
Phase 1	Phase 2	Phase 3	Phase 4	
_____	_____	_____	_____	
Doing				
Thinking				
Saying				
Insights				

Journey Map Example



Ideation

- Ideation is the process of employing various creative thinking techniques to solve a particular problem and finding an effective solution.
1. What helps generate a volume of ideas is a diversity of perspectives.
 2. If you want to collect the best ideas, a key factor here is to defer judgment.
 3. The best way forward is to collect many, many ideas.
 4. To get diverse ideas, you need a diversity of brains.

Ideation Exercise for both individual and groups brainstorming

- It works for both solo and group ideation.
- Use the first 5 minutes to set the context
 - Explain the customer background (Empathy phase)
 - List the problem to solve (Define phase)
- Individual thinking for first 10 minutes
 - Get everyone a pen and paper and ask to be silent for the duration
 - List as many ideas as you can on the paper
 - Goal is to collect volume



Ideation Exercise for both individual and groups brainstorming

- **Break for two minutes**
- **Ask everyone to review their list and mark three interesting approaches**
- **Break the group in teams of 5**
- **For the next 15 minutes, the team discusses each idea at a time**
 - **They are adding to the approach even if it's unrealistic**
- **If required, give an extra 10 minutes**
- **You may want to repeat this over a few days to capture all ideas**
- **Once all ideas are completed the team(s) will know which solutions are converging. Maintain this big list of ideas since you may need to refer it again.**

COLOR THEORY

Color Theory

- Color is one of the most important and influential tools a designer has.
- In designs, it can set the brand tone and influence its image, draw users' attention, affect their emotions, and increase usability.
- However, finding the right combination of colors can be tricky and requires some basic knowledge and practice.

Color Theory

TrendSpot | Online Shopping Customer Journey Map

Phases	Phase 1 Motivation	Phase 2 Website Search	Phase 3 Clicks on the First Result	Phase 4 Checks the Website	Phase 5 Product Evaluation	Phase 6 Payment
Activities Performed	Wants to purchase an item for somebody	Searches the products on various websites	Post search, customer clicks on the first ad.	Customer goes online again and clicks the first proper website	Opens a page to check product details. Checks other products for proper comparison.	Makes the payment for the preferred product.
Emotions	Happy and Excited	Happy as the customer finds numerous options	Disappointed as the first ad result came up with no results	Very happy as he goes online and finds leading gifting websites in top SERPs.	Happy! Clicks on the website and find the favorite products on sale.	First disappointed as the website only has BTC payment option. Contacts helpline and completes the transaction with the credit card mode.
Overall Experiences	Good	Good	Bad	Good	Good	Average as customers time gets wasted
Customer Expectations	Easy availability of the websites, products, and discount options	An easy to use search engine that can make the website search process easy	No advertisements in the top search results	A website with an intuitive interface	Higher quality products in the top categories	Numerous payment options and an easy checkout process

Color Theory

Colors are how our eyes perceive different light-wave lengths. In 1666, Sir Isaac Newton identified three color groups:

1. **Primary:** yellow, red, blue
2. **Secondary:** orange, purple, green (mixes of primary colors)
3. **Tertiary:** yellow-orange, red-orange, red-violet, etc (mixes of primary and secondary)

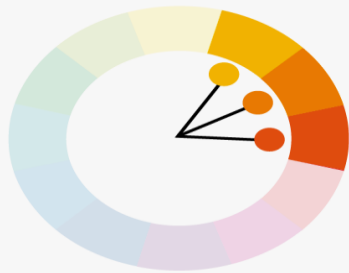
Newton placed these colors on a **color wheel** to illustrate the relationships between them.

Color Theory

- In visual arts, there are various attempts to explain what colors go together — these are known as **color theory**. While the details of color theory are beyond the scope of this EBD course, a basic concept is that of color harmony: a set of colors that work well together.
- You could think of color harmonies as the building blocks or the underlying template of a color palette. Some common color harmonies are:
- **Use Color Theory to Match What Your Users Want to See**

Color Theory

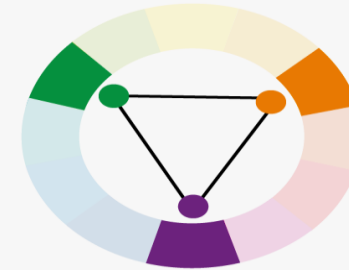
Color Harmonies



Analogous



Complementary



Triadic



Split
Complementary



Monochromatic

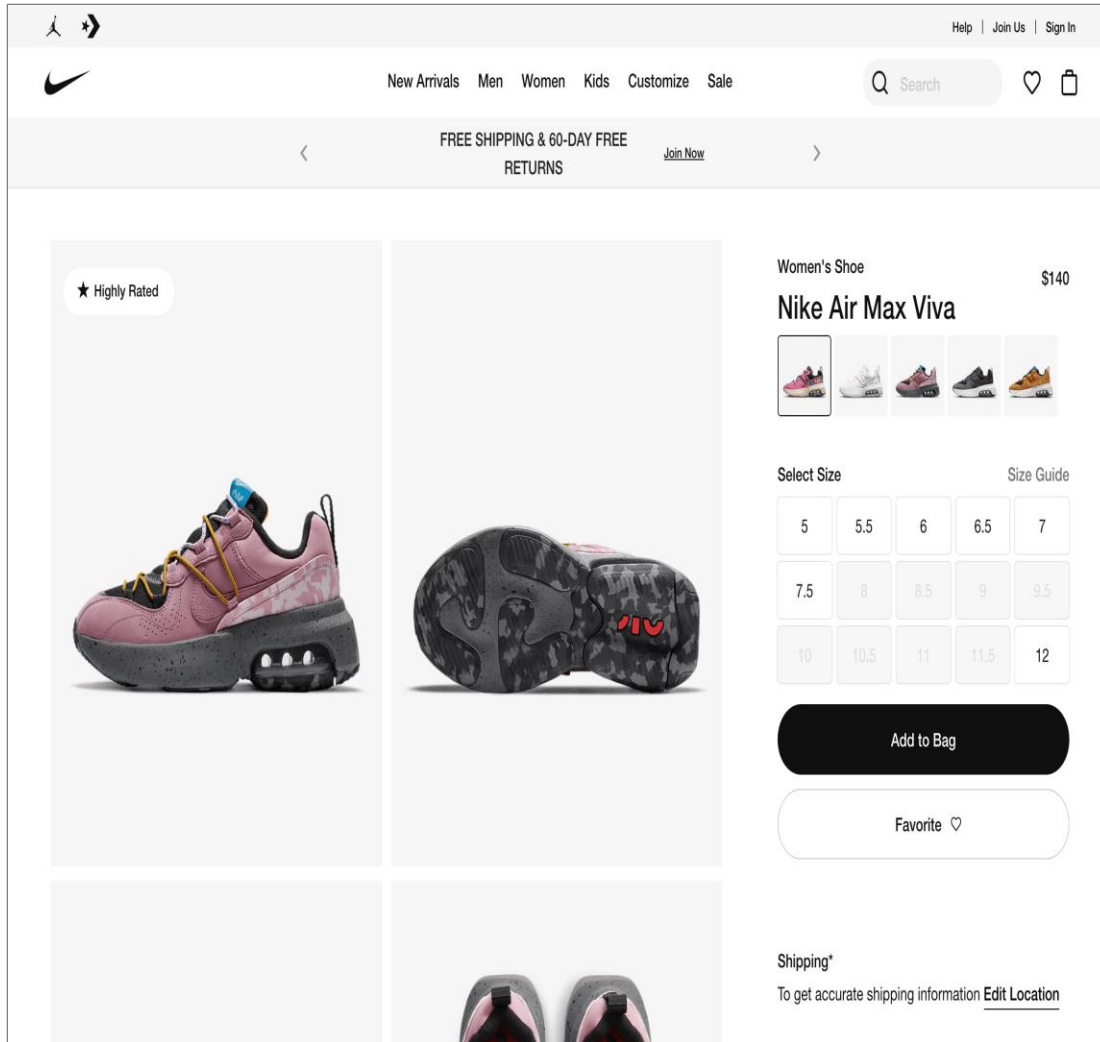
Color Theory

1. **Analogous:** colors that are next to each other on the color wheel (This color harmony creates low color contrast.)
2. **Complementary:** colors that are opposite on the color wheel, which produce high color contrast
3. **Split-complementary:** a color combined with others from either side of its complementary color. This harmony slightly softens the contrast from basic complementary colors.
4. **Triadic:** three equidistant colors (120 degrees apart) on the color wheel
5. **Monochromatic:** tones and shades of a single hue

Color Theory

- **Use the 60-30-10 rule.** This rule simply means that colors should be used in 60%, 30%, and 10% of your design area.
- Use 60% for the dominant color, 30% for the secondary color, and 10% towards an accent color.
- These proportions help create balance and prevent you from making a colorful and chaotic mess.
- Typically, the dominant and secondary colors should be relatively neutral colors.
- Reserve the accent color for what you want to stand out the most on your page — for example, the primary call to action.

Color Theory



Nike's website used a minimal monochromatic color palette: black, white, and gray.

This choice of colors allows users to focus on the products and the product photos.

Killing The Ideas Through Stage Gate Models

- The model focuses on the innovation process and is also referred to as the **waterfall process**.
- It is a project management technique, in which an initiative or project takes place, divided over several stages.
- These stages are separated by so-called 'gates'; the decision points for whether or not to proceed to the next stage.
- This model can be used when developing new products, process changes or improvements.

Killing The Ideas Through Stage Gate Models

Gates

- At each gate, a decision is made whether to continue the process or not.
- This decision is based on the prognosis and information available at that moment and The quality of an idea is assessed at each of the gates.
- This concerns the quality of the execution, business motivation to continue financially and the action plan showing what needs to be done in order for the project to have a chance at succeeding.

Killing The Ideas Through Stage Gate Models

After each gate, one of the following decisions can be made:

- **Go**

The project is good enough to move on to the next stage.

- **Kill**

The project is not good enough to develop further and is shut down right away.

- **Hold**

The project is not good enough to continue to develop it at this moment, but not so bad that it needs to be shut down immediately. It is put on hold to possibly be resumed at a later date.

- **Recycle**

The project is good enough to develop further, provided some changes are made.

Killing The Ideas Through Stage Gate Models

Stages

The Stage Gate process consists of a number of stages, which are connected to each other by gates. Each stage is designed to collect specific information:

Stage 0: Discovery

Stage 1: Scoping

Stage 2: Business plan concept

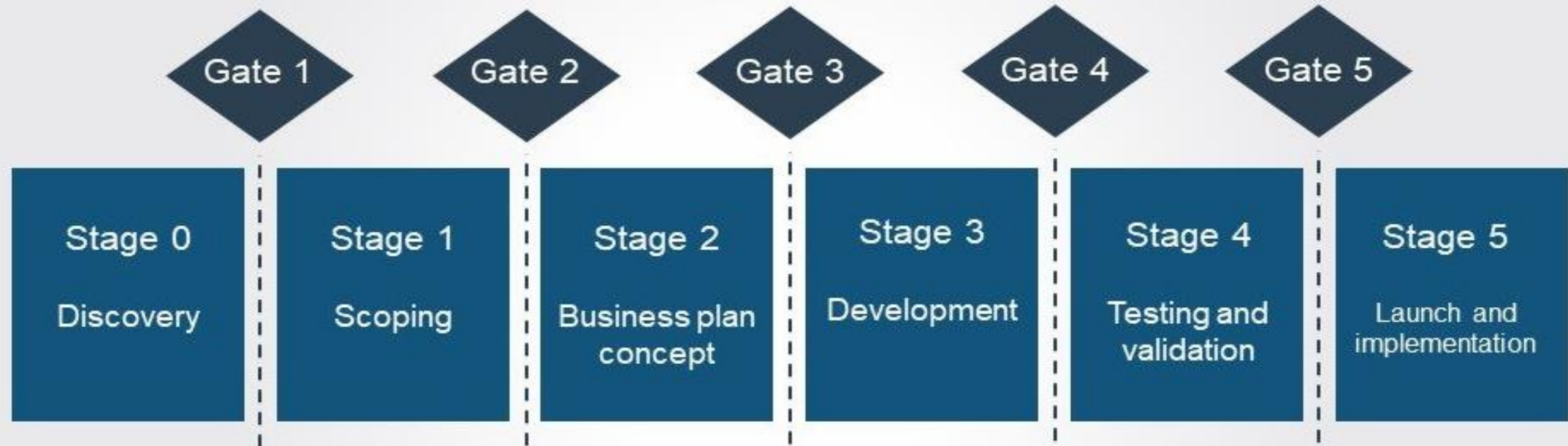
Stage 3: Development

Stage 4: Testing and validation

Stage 5: Launch and implementation

Killing The Ideas Through Stage Gate Models

Stage Gate Process



Killing The Ideas Through Stage Gate Models

Stage 0: Discovery

This initial preparatory stage determines which project a company wants and is able to carry out. Ideas can be generated in brainstorming sessions. Employees are not the only ones involved in this part. Customers and suppliers also provide useful information. An idea is first selected and then proposed. If the idea is not worth the effort, the gate closes here.

Stage 1: Scoping

This stage is all about evaluating the product and the associated market. What are the product's strengths and weaknesses and what can it bring to the user/consumer in terms of added value? This stage takes all the possible threats from competitors into account. Based on the assessed threat, production will or will not continue. The greater the threat, the greater the chance that the gate will close.

Killing The Ideas Through Stage Gate Models

Stage 2: Business plan concept

Now that the product is impervious to competition, a business plan is drawn up. This is the last stage of concept development and is crucial before the starting with development of the actual product. This stage is very labor-intensive and includes sub-stages that need to be completed:

Product definition and analysis

The customer value is determined by finding out which benefits the product offers and what conditions and functions it must meet. This information can be retrieved with the help of interviews and surveys. We also look at the environment and the competition.

Creating the business plan

In this document the product is described and defined, including the legal health and safety requirements.

Killing The Ideas Through Stage Gate Models

Creating the project plan

- This plan contains a list of all tasks that are planned during the entire development process, and the people who will carry them out.
- The expected launch date can also be found in this plan.

Feasibility review

- This includes a feasibility study in which different departments assess the plan's chances of succeeding.
- If, after this stage, it appears that the business concept does not have sufficient potential to generate turnover, the gate will close.

Killing The Ideas Through Stage Gate Models

Stage 3: Development

- During this stage, the plans from the previous steps are carried out and simple tests are conducted. For example, at this stage customers can be asked what they think of the product.
- The development team also creates a timeline with specific milestones that have to be achieved.
- This timeline can be revised and updated regularly.
- It also incorporates multi-functional teamwork; different departments provide input with expert advice.
- This ultimately results in a product prototype, which will be extensively tested during the next stage. The gate will remain closed if the product has not been sufficiently developed.

Killing The Ideas Through Stage Gate Models

Stage 4: testing and validation

This stage covers product testing and validation. They also look at the manufacturing process and how the product is accepted by customers and the market. This also means that a number of sub-stages are completed during this stage:

Near testing

The purpose of this test is to identify possible production errors or other issues. It is no longer a prototype; the product is almost ready to be sold. The groups that carry out this test are closely tied to the organization. They include staff, regular customers and suppliers.

Field testing

In this part, the product is tested in the field by various participants who can make a valuable contribution. This is usually done with the help of customers. It is important to find out whether this target group is interested in the product, which characteristics they consider important and in which context the product will be used.

Killing The Ideas Through Stage Gate Models

Market testing

- This test is optional. If the product is offered in the market, it has already passed through the previous test stages. This means that sometimes, after a period, the product is assessed to see whether it sufficiently matches the needs and wishes of the consumer.. If not, the gate to the next stage will remain closed.

Stage 5: launch and implementation

- The marketing strategy comes into play during this stage in the Stage Gate process. The product is ready to be launched, which will include a fair amount of hype, by means of for instance an advertising campaign, free publicity (press releases) and interviews.
- The sales team is predominantly responsible for ensuring a smooth process.

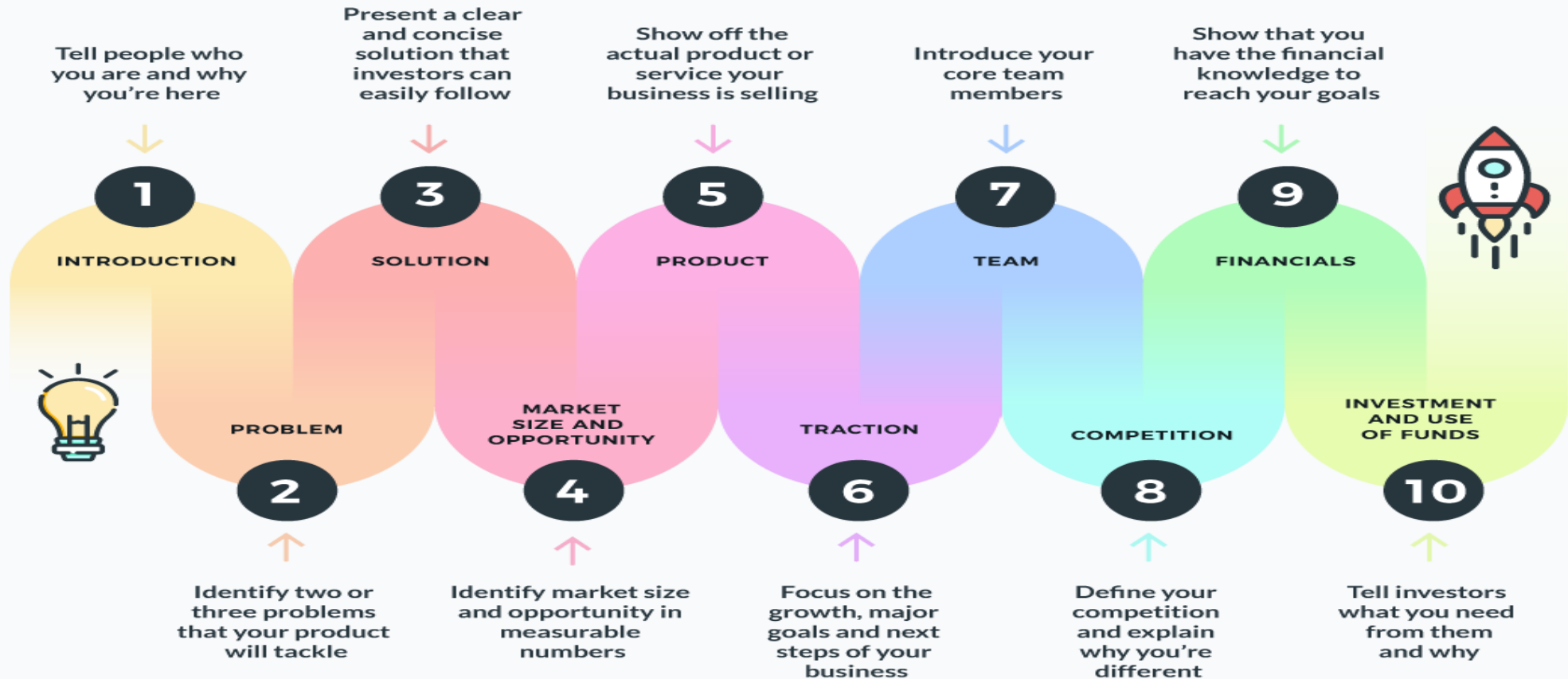
Pitching the full-fledged idea

1. A pitch deck is a presentation deck that is used to pitch an idea or company to any number of audiences, generally investors.
2. It is a brief presentation that gives potential investors or clients an overview of the business plan, products, services and growth traction.
3. It is essential to organize a pitch deck based on the audience and forum to which it is being presented.
4. Key components to a pitch deck include high level summary slides, the problem being addressed, the product, the market/strategy, the team, financials/projections and the tone used to convey an idea.
5. A good rule of thumb is to include no more than 19 slides in a pitch deck.

Pitching the full-fledged idea

WHAT'S INCLUDED IN A

pitch deck presentation?



Pitching the full-fledged idea

Pitch Deck Template

Each pitch deck should include one slide per item:

1. Cover Page
2. Elevator Pitch
3. The Problem
4. Your Solution
5. Market Size
6. Business Model
7. Proprietary Tech/Expertise
8. Competition
9. Marketing Plan
10. Team / Hires
11. Money / Milestones

Choosing A Start up -Team

- "Teamwork makes the dream work, but a vision becomes a nightmare when the leader has a big dream and a bad team"
– **John Maxwell,**
Author
- "There's nothing wrong with staying small. You can do big things with a small team" -**Jason Fried, Entrepreneur**
- "Great things in business are never done by one person "
–**Steve Jobs, Co-Founder of Apple**

“If you want to go fast, go alone; if you want to go far, go together.”

Thus, to take your startup to stellar heights, you need to start by building a winning team that will take you far.



Choosing A Start up Team

“No matter how brilliant your mind or strategy, if you’re playing a solo game, you’ll always lose out to a team.”

-Reid Hoffman, Entrepreneur

1. Study says that about 60 percent of startups fail to take off due to poorly constituted teams!
2. This statistic establishes the fact that behind every successful startup is a team of passionate individuals who work tirelessly towards a common goal.
3. Regardless of how awesome the idea may be, building a team for the startup lays down the stepping stone to success.

Building A Start up Team

1. **Identify the doers from the sayers:** It is important to have team members who are agile, resourceful, and quick rather than those who merely spout off facts.
2. **Standard metrics don't apply:** Candidates who are passionate and self-driven to get things done could be much more valuable than someone who may appear competent but is ineffective.
3. **Adapt, change, and improvise:** Team building for managers involves changing, adapting, and improvising the team based on the gaps and future requirements.
4. **Focus on customer service:** A team that makes the customer feel like a priority and puts them first, then such a team is preferable.
5. **Avoid homogeneity:** Having a heterogeneous work atmosphere will provide room for creativity and individualistic ideas.

Building A Start up Team

6. **Exercise strong leadership:** Entrepreneur is responsible for ensuring collaboration so that the task or project outcome is as expected.
7. **Hire slow, fire fast:** A classic team building case study for the “Hire Slow” philosophy is Airbnb, which took about five months to hire their first employee. The “Fire Fast” policy ensures that only fitting candidates are present in the team.
8. **Experience vs. raw talent:** While both experience and raw talent are important, what every recruiter should look for is passion. The zeal for getting things done can never be compensated by experience or untapped potential.
9. **Build a scalable team:** Focus on building a team of leaders who can head their respective organizational units in the future.

Building A Start up Team

Eight Startup Roles to Hire

- 1. Chief executive officer (CEO) and chief operations officer (COO):** The CEO is typically the big-picture person who controls the company's direction, vision and culture, whereas the COO is primarily focused on the day-to-day operations to keep your business running.
- 2. Product manager:** This team member manages the product strategy, vision and development. They typically work closely with the engineering and marketing teams to create and market the product.
- 3. Chief technology officer (CTO) and VP of engineering hybrid:** A team member who specializes in technology and development is crucial for tech startups business's success.
- 4. Chief marketing officer (CMO):** This team member will focus on the startup's customers and how they view the product or service.
- 5. Sales manager:** This team member will focus on generating new leads and bringing in money for the startup.

Building A Start up Team

Eight Startup Roles to Hire

6. Chief Financial Officer (CFO): Experts recommend that startups outsource their accounting and finance roles, but hiring a CFO can be extremely helpful for the startup. It's essential that to have someone on the team who is responsible for the money and has an eye for detail to manage all aspects of the company's finances.

7. Business development manager: While similar to the sales manager, a business development manager finds ways to grow the business from both a marketing and sales standpoint. For example, this professional focuses on developing relationships or partnerships with other businesses to increase revenue and potential for growth.

8. Customer Service Representative: Customer service is a critical task every business should master. Building positive relationships with your customers and clients is the cornerstone of your brand.

The end of Unit III